COURSE

Leaving Certificate Business (current syllabus)

Final accounts

Unit 4: Managing 2 · 4.4 Basic final accounts

Revision for Unit 4: Managing 2: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Final accounts**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Variable unit cost**	TASK 2 **Why profit fell**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Statement in order**	TASK 4 **Profit after tax**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Costs or revenue**	TASK 6 **Profit next year**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Split the costs.

Variable cost per car?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Total costs, a month	**€52,350**
Fixed costs, a month	**€4,750**
Cars sold	**4 cars**

METHOD

Variable cost per car = (total costs – fixed costs) ÷ cars

(€52,350 – €4,750) ÷ 4 = €11,900

Why: Take the fixed costs off first. Then share the rest between the cars.

Task 2

ROUND 1

Revenue rose 10% this year, but profit fell.

Which two could explain this?

PICK TWO

- ✔ **Fixed costs jumped this year**
- ○ More cars sold at the same margin
- ○ Overheads fell
- ○ Prices were raised
- ✔ **Variable costs rose faster**

Why: Profit falls when costs grow faster than revenue.

Task 3

ROUND 2

You read your trading, profit and loss account from the top.

Put these in order, top first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Sales**
2. **Gross profit**
3. **Expenses**
4. **Net profit**

Why: Sales less cost of sales is gross profit; less expenses is net profit.

Task 4

ROUND 2

Year-end figures.

Profit after tax for the year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Gross profit	**€73,000**
Overheads	**€40,500**
Interest paid	**€1,000**
Tax on the profit	**25%**

METHOD

Profit after tax = (gross profit – overheads – interest) – tax

€73,000 – €40,500 – €1,000 = €31,500; – 25% = €23,625

Why: Tax is taken from the profit after interest: €7,875.

Task 5

ROUND 3

Revenue is €200,000 and costs €180,000. Raise prices so revenue rises 5%, or cut costs 5%?

Which raises profit more, and why?

PICK A OR B AND GIVE A REASON

- ○ Cut costs by 5%
- ✔ **Raise revenue by 5%**

Why: 5% of €200,000 is €10,000; 5% of €180,000 is €9,000.

Task 6

ROUND 3

Next year's plan.

Profit next year? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Revenue	**€105,000**
Revenue rises by	**20%**
Costs	**€66,000**
Costs rise by	**25%**

METHOD

Profit = revenue after the rise – costs after the rise

€126,000 − €82,500 = €43,500

Why: Revenue and costs both change. Work out each new figure first.

Final questions

6	50	1
questions for each pupil	questions in the Irish set	of them on final accounts

The game draws 6 questions from the lesson topic "Cash, profit and VAT"; these 1 are about final accounts.

1 You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?

€2,683